

Active Inference BookStream #001.1 ~ "Governing Continuous Transformation"

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um hello and welcome everyone it's January 11 2023 we're in active bookstream number 1.1 on governing continuous transformation off to the facilitator all right so today we are discussing part one of governing continuous transformation we're lucky enough to have the author Bajan kesri with us today I hope I pronounce that right yeah all right wonderful wonderful um so we are the active inference Institute so we are participatory online Institute that is communicating learning and practicing applied active inference all those links are socials so this is recorded in a live stream and an archived live stream so please give us feedback so we can improve our work uh all backgrounds and perspectives are welcome and we will be doing our best to follow a video etiquette for this live stream all right so this is a all active inference Institute activities are participatory so if you want to get involved let us know all right so this is the 1.1 book stream so we've been discussing uh governing continuous transformation reframing the strategy governance conversation by John kosri uh so we've over the past four live streams we've been discussing part one of the book section by section uh and it's been very methodical unpacking the concepts and today we're lucky enough to have Bajan with us uh in person where we're going to be actually kind of unpacking some of those hairy Concepts or questions that came up during those previous four live streams so if you haven't seen those previous four live streams definitely recommend uh watching those or better yet reading the book and that would be some important context all right so let's go into it so before we get started let's just do some quick intros so I can start this off so let's do like an intro and then we quickly just say what you're excited about today all right so my name is Tyler I'm uh a I work in Dow governance and protocol design in a previous life I also was a strategy consultant at you know large corporation so organizational change is something I'm very personally passionate about and I'm really excited to kind of dive into some of these thornier questions that came up over the previous four live streams are very happy to have uh John with us here today I'll pass it off to Blue um blue night I am an independent research

consultant in New Mexico my background is largely Neuroscience but I am a founding member and on the board of directors here at the Active inference Institute so I'm very excited to kind of get the perspective of free energy governance like we are the African friends Institute we should be using free energy governance in the way that we kind of Drive our Institute forward and our with our board and our governance method so I'm excited to just be studying this concept and learning how to best apply it to my work here at the Institute and I'll pass it off to Daniel hey I'm Daniel I'm a researcher in California looking forward to the conversation today to continuing to develop our relationship with the work and just to check in periodically as the niche continues to develop so rapidly which is a focus of free energy governance so Bijon to you okay so I should address the very same questions uh well obviously um you know in in in life everything is is is very past dependent so uh I happen to actually a very young age go on the board of directors of public companies and as a result of it I was always fascinated actually how companies are being governed and I was many times also astonished about the fact how disconnected the very top of the company where all the decision power resides uh is disconnected actually from the um from the front line of the of the company I do recall actually one of the uh boards I have joined in 2019 very exciting company took a it's a difficult name to pronounce but it's a global leader in Innovation Services we do really fascinating projects around the world and when I introduced myself I said there's really all the intelligence in a firm is really at the bottom it's not at the top so that was obviously very surprising for board members to listen to because there's a very self-understanding of board members is that they are the smartest guys in the room and that they obviously are entrusted by the stakeholders was allocating all the resources so I I'm really excited about how the role of the board has to change in a world which is and has become increasingly discontinuous very distributed where a bunch of very smart guys meeting up four to eight times a year to take all the key decisions in the company um it's not in my view a recipe for sustainable success and that has obviously led to the fact that many times CEOs become very very powerful and the board is there to guide to advise um to approve uh and to make sure kind of things are more or less in order but I think like with everything with every person with every process it's a little bit like flipping the coin I mean as much as certain things or certain people explain success they eventually also explain failure and the idea really behind the free energy governance concept and inspired obviously by Kyle fresen's free energy principle is when you look at biology you look at nature you start understanding there's a lot of self-organizing mechanisms which determine the survival of an organism and my idea and the

the the drive behind free energy governance is really we should be revisiting a number of self-organizing principles to make the company actually much more resilient in discontinuous and distributed Market environments I'm just looking at the questions the other questions I mean that's certainly something I'm excited about that's in a nutshell really what has been inspiring uh from my background and from uh from a theoretical point of view uh the free energy governance concept um and I do think uh uh and that's why I'm looking really forward uh to this session and I really appreciate the diligence with which you have prepared it and the questions that when I talk about the free energy governance concept people get it because there's really three simple Dimensions there's a structural Dimension which very strongly inspired from neurosciences but how do we connect actually our prefrontal cortex with the nervous system and how is it an interactive top-down butterfly connectivity which has to work and you can transpose this onto organizations and you can very quickly see there's tremendous friction in an organization because the bottom at the top uh don't really interact and connect the way our nervous system and our brain that's the second dimension is uh this Dimension I call cognition but what it really means is rather than teaching uh uh uh adaptation which is really the dominant school it it it it MBA programs we should be analyzing the environment and then adapt accordingly I say the world and strategy is not environment driven but it's interpretation driven so when you take a more interpretation-driven approach you are much more in power to create actually your own I don't like the word reality because that's a very relative concept but you create your own Eco Niche and the equal Niche you really want to compete in so I do believe we are much more in power than we resist to believe in the third dimension is related to capabilities and capabilities um uh is a big Topic in in management science obviously um capabilities at the board level haven't been really addressed and my work on the free energy governance side is trying to develop capabilities at the board level in certain meta capabilities and that really leads into the topic when we say in the distributed and discontinuous world how does the board has to evolve in order to be meaningful it's either going to be completely irrelevant it could be potentially a source of inertia or it can allow the company to prosper and to outperform its its competitors I guess for this slide I wouldn't say much more awesome there's a lot to dig into there and so we'll get to some of those those bigger topics in a second here um all right so this is where we're at in the book we've been reading part one um up to now which is a lot about framing the conversation about what free energy governance is in the free interview principle and right now we're at the conclusion so we'll read the abstract for that in a second here all right so the room after today today is a

discussion around these seven questions in the beginning of the discussion we'll be talking more about like really how do you communicate with free energy governance is and then later in the discussion we'll be really more getting into some of the the nitty-gritty questions about maybe some of the implementation of what free energy governance can look like um and we'll keep it free-flowing today I mean we'll try to all these questions if we get off on the tangent that's actually totally fine and we can just kind of take the conversation where it goes very good um please oh sorry we'll we'll just we'll start off by reading the uh the abstract and then we'll kind of get into the discussion but is there something that you want to say before we move on no no no no no I I I follow you okay great so uh blue do you want to read the slide for us sure uh is that all that's on the slide there's one more okay strategic renewal research is now confronted with important challenges concerning process design cognition and dynamic capabilities sensing and sense making of relevant signals as a basis for initiating strategic renewal are appreciated by an action-centric and explorative engagement with the world we are moving from co-aligning organization with environment in form of adaptation to co-creation as firms build agility through distinctive environmental enactments all existing Frameworks and studies in corporate governance as well as strategic cognition remain characterized by one or a combination of the following fundamental limitations cool and I could take this slide so uh one the environment and environmental change are generally treated as objective reality to strategic renewals treated as a top-down content rather than top-down bottom-up process challenge strategic renewal study that the managerial level but only marginally at the board level formal processes are the focal unit of analysis and five demographic and universally measurable variables dominate with no new consideration for strategy relevant meta capabilities at the board level prediction governance introduces a novel across hierarchical gender that infracentric framework empowering the firm as a generative model of its econation shareholders and board directors must interpret the board's strategic relevance and discontinuous world if not the board is prone to turn into or remain a source of inertia compromising uh firm performance and survival all right let's get into it so uh the first question here is just you know creation governance as we've been going through this last uh you know four live streams it can get very deep right there's like a thermite thermodynamic angle to it there's an information Theory angle there's a machine learning angle right so you can go down the rabbit hole and you can go very far but at the end of the day too like there's a very intuitive way you can think about free energy governance and so I'm curious when you meet Executives other Business Leaders and you have to communicate what free energy

governance and the free interview principled are how do you succinctly communicate that communicate hey this is different from what you're already doing when you look at uh what has been happening uh in the last 20 30 years we see that um technology is not only building incredible connections but we also do see that the cost of innovation is coming quite dramatically down if you take a startup in Silicon Valley in the 1990s to build something that say which would take a million dollars at the time you can probably do it today with ten thousand dollars the same bit so the power of the individual in creating new stuff changing the way we consume product wise um has increased dramatically as a result of it this continuity has been rising dramatically apart from that the world has obviously also again thanks to technology become quite uh connected and integrated now when you look at all that stuff what technology is doing what individuals are doing they don't even need to be incorporated it's creating a lot of change in the resource Market in the resource Market is really I don't like actually I do not like the term top environment probably the bottom certainly is much more Frontline um the top yes usually the top is the board because these are the the last guys the ultimate people taking into the the resource allocation decision on big topics which concern the entire firm but when you look at all the stuff that is happening right now in product markets in Supply chains in universities um where there is great thinking there's not only great ideas there's new products coming out and you start looking at the guys who are sitting in the board of a big company they are so far removed from really being connected to what can happen now and that's very natural because they there's only as much attention we have as much cognitive bandwidth we have and how much can they process the bigger problem however is and I would say to your first question what's the hook is every board member every CEO would love and they there's a wonderful concept which is called skilled incompetence and skilled incompetence really means people are doing actions which are counter productive to what they really want to achieve and sea level board members are really keen on understanding what's happening in all these markets and catching up on all the impulses inspiration in order to think about where should our organization be going but inadvertently they're creating a lot of friction and they're bringing themselves far more removed so the Big Challenge and this is really what free energy governance is addressing how can we connect the top at the bottom in a much more efficient way and that has a lot of challenges because you have middle management how is information traveling but a much more interesting thickness which is happening right now is when you look at artificial intelligence artificial intelligence effectively allows you to decouple two things which usually came as a Unity it is the

prediction and the Judgment which together form a decision so when you look at the anatomy of a decision consisting of prediction and of judgment with the increasing deployment of artificial intelligence that is being actually decoupled now what that means is that the value of human judgment becomes much more important but then the question does arise who is best positioned to make the judgment is it really the sea level is it at the very top once I have all the AI prediction available and I can generally grade predictions as an input into my decision making and subjected to judgment so all of a sudden you have to very carefully think what should be and continue to be decided at the very top and what should be not reach the top any longer because it's taking too long it's creating too much friction and maybe the board of directors in the sea level are no longer best positioned to decide on many things they're deciding on today so I think what we will be seeing in the next decade to come and it's partly driven by technology but in particularly driven by AI technologies that there's going to be a shift in power where and how decisions are going to be taken and we will look at organizations the way they are run today the way they are structured today they look like a dinosaur because they are not really connected to what is happening really in the marketplace in real time so the sea level is facing a big challenge of a how they're connecting to the bottom and how the information is Flowing as a basis for them to take great decisions second decision power is probably becoming within an organization also more distributed so it's not going to be as centralized as it used to be the more important thing is and this is very fundamental to free energy governance is communication when you look into companies today and even companies where I am on the board of it's frightening to see how communication is a real problem everybody has the best intentions to be clear to be transparent but communicating is many times also a question of language and if we do believe that in the future the interface between the machine and the human is going to be increasingly we need to develop a language which allows us to much better connect to the machine and that's where I believe the free energy governance framework which is built on the free energy principle which is all about prediction error minimization when you start putting HD prediction and prediction models at the center of what it is about to run an organization take the active inference Institute what is your prediction model you do have a prediction model which is actually your world model and on a daily basis you are generating predictions about what you think should happen uh what is likely to happen what interests the audience these are all predictions you're you're you're generating and eventually this team you guys are applying your best judgment of what you're doing many times you're testing the predictions and the predictions may actually give you

feedback which tell you you shouldn't be doing this So eventually your judgment will really matter but what you do when you start adopting a language of prediction error I believe you become much more performing because what you start doing in a much more conscious way you start measuring the performance of your individual predictions which eventually feed your decisions on the basis of your very judgment and over time your judgment improves as well because you're you're testing and your measuring of performance of predictions is getting better and when you do this and in in my book in the later part of the book when I've been trying to relay a very theoretical concept more to the world of practice I've been looking at the budgeting process the budgeting process is a great uh uh domain where you have to make a projection a prediction about next year and you make this prediction on facing actually two fundamental questions what is you control what you don't control what is uh what you know and what you don't know so there's a lot of unknowns you have to deal with and when I'm looking at a budgeting process I'm dealing with a lot of unknowns what is really critical for me is not the number people put behind that unknown but is the process they suggest of how they turn the unknown into a known and it always starts with very small steps so I think organizations need to start communicating much more in terms of prediction models in predictions falsifying those confirming those and when you start articulating the strategy or a vision you have as a prediction model and that there are predictions generated by that prediction model and you empower the community the the organization through great and clear communication to challenge your predictions you're creating an a a very different culture of how you engage the front line with the key decision makers who at the end of the day of course there's always a small number of people who are accountable for managing and allocating the resources of a firm so I think that's a critical hook because a lot of you know a lot of sea level people and board members talk about uncertainty but he is a really critical thing first of all uncertainty is a very subjective concept what your uncertainties may not be mine or vice versa so in my view when somebody says the world is uncertain or unpredictable I mean we all agree there is a lot of things we don't know what's going to happen tomorrow so in that regard there's many many worlds that could appear in that regard yes there is some degree of unpredictability but if I talk about uncertainty of course there is uncertainty but at the end using uncertainty and unpredictability is really just an admission of the very limitations of my world model because uncertainty is an incredibly Rich training ground for my predictions to eliminate and reduce uncertainty and turn unknowns into notes and when you look at organizations and I think sometimes most of the time sea level and board level are

not aware of the fact if the further you go down in the organization to the front line they have much more intelligence and understand much better how rules are creating the source of inertia and actually masking and burying uncertainty and don't make it available for prediction testing and ultimately better decision making so our challenge in today's world with a lot of discontinuity a lot of change happening for very understandable reasons because the individual has more power we have cheaper Technologies available to create much more impact we need to embrace uncertainty we should not avoid uncertainty and today the organizational Frameworks are not in place to allow organizations to embrace uncertainty because they don't know how to talk in prediction and prediction models and test those predictions I'm sorry blue sorry just ask a quick follow-up question what can you clarify what you mean by discontinuity or discontinuous I mean I think I have an idea but I would just like to maybe have a more clear you know I try to avoid the word disruptive but when you look at and you look in management science Clayton Christian's disruptive technology which is not necessarily radical technology it's technologies that can change for example a cost factor and the cost factor is so decisive that all of a sudden it changes the way business is being done and what is being deployed and whether you're still shipping something or you're not shipping something or whether it's uh it's I mean you could argue uh to some degree let's put the particular context of the pandemic aside but a valid question is the way teams and zoom have become so much part of our day-to-day engagement I have been someone who has always preferred the physical touch point and in my own company I have offices in in in different parts and my my Approach has always been I'm going to be physically present in those offices at least once a month as I tour them I've changed this radically the pandemic is over so I definitely uh don't buy as many uh flight tickets any longer and this is it's not a strong example but I do think that a lot of airlines struggle with the fact that business Travelers are not there the way they're there there may be more recreational Travelers and the planes continue to impact but there's less planes we shouldn't forget that either so has video calling and and uh created actually some discontinuity on a massive scale that can disrupt Industries um so you do have uh this kind of discontinuities they don't need to be radical uh Innovations but they they change on a massive scale the way things are being done and there's obviously a lot of examples that happen all the time um that happens sometimes which are beyond our what we can see but there's a lot of stuff which is happening behind the scenes where things are so radically changed that companies are from one day to the next out of business and I guess that's what I mean with this continuity more in the term in view of disruption but I don't like the term of disruption that that makes sense I

think just to I'm not sure if he had more you want to give on this elevator pitch but I think to kind of summarize but I think you're saying or the essence of my takeaway is you're really putting uncertainty at the heart of the organization rather than something that is to be worried about to be anxious about you're really saying hey this is an intrinsic part of being an organization having a world model there's nothing we can do about uncertainty but we can manage it and we can we can do that by making prediction error as really the heart of how our organization thinks about its business uh absolutely and this comes back to the active inference Institute because the most most important words in active inference is active because you put action at the center of what you do and it's the actions that create your perceptions and not the other way around and that's a fundamental thing and you go into the sea level they still do believe that they perceive and then they act and that's terrible because then you are really a victim of whatever is happening outside your control and the power of the free energy governance framework and obviously the free energy principle is that you get actually into control and the way you work yourself through to reduce the unknowns and you can only do this through the actions and there was one question you had on the on the first slide which I think was question number six uh we don't have to go back there but I it was related to Silicon Valley and when you look at the smaller a company is when you take uh a startup business a startup business usually does not have the challenge of of uh uh top down by the map because there's three guys sitting in a room and uh there were many many heads uh at the same time all they do share is one purpose One mission and one big dream and and and as a result of it almost in a self-organizing way all the right actions will fall into place because the goal is so clear of what they want to achieve the problems start when the team starts growing when things are being delegated when all the sudden communication becomes important when all of a sudden there is a distance between where the action is happening in the field and the person making the decisions about how financing is being raised how it's being allocated and what story is being taught so when you look at the very mature companies in Silicon Valley and those who have been successful and have kind of shaped a big part of our life in the last 10 20 years you look at an Uber you look at a Facebook you look at the Google is because these companies stayed actually very true to their core and you can look at that they fulfill all three dimensions of the free energy governance framework they make sure the way they organize that a lot of decision power is actually at the bottom they are not big fans of pulling all the power to the top they want to make sure that individual entities can work operate the site and be very agile and very fast so that's already the first element the structural element how you

connect the top and the bottom second element is the cognition part neither Google nor Uber nor Facebook any of these companies are doing market research when they really started with what they want to do as business to figure out is there a market or whatever they create something which they enact driven by a deep passion many times a deep passion of believing this is how the world should work we will adapt the world to us it's not us adapting to the world and that is what makes these companies incredibly strong because they're creating their own equal niches when you look at the iPhone coming out in 2007 everybody was mocking it Blackberry which some of you may not know even at the time what was the dominant communication device because it had a great uh keyboard in all of this to have a phone without a keyboard with every disadvantage a low battery which was literally putting everything together but everything was really sub-optimal um one didn't give it much chance but what effectively at the time Steve Jobs as the Visionary or representative of that vision for a whole team articulated was the phone will be a computer and it will be a computer that can actually do anything and you have it in your pocket and that was a tremendous vision and Nokia didn't have that vision and they focused on the prime functionalities so I think what these companies do is and that's the second dimension of the free energy governance framework they really enact their own environments and the third one which is related to capabilities in the free energy framework is and I have related to this um in the free energy governance framework in my book I try to be very specific but the capabilities part I focus on is how and I'm always focusing capabilities on the board level and on the board level I look at how you manage Duality and in business there is two sets of dualities which explain everything these are the two fundamental sense and only those two sets the one is how do you manage simultaneously exploitation and exploration you have to manage your existing business and optimize it and take that cash flow which is available and you have to work on the future cash flow which doesn't exist yet you don't have the products yet and you have to find a way which is very challenging lots of books have been written about it of how you manage these two things in parallel in the meantime my view is these things happen actually almost at once on top of each other rather than being two separate organizations but there's many different views also depending on the maturity of the company the life cycle of the company what is the better approach that's the first set so first set between exploitation of today's Cash Flow and developing through exploration tomorrow's cash flow the second set is a very important one is the trade-off or the The Duality between Financial control and strategic control Financial control in this context means essentially how you buy other companies which

you're not doing in-house to accelerate and to move forward strategic control is really in-house Innovation so a company and a board is continuously challenged is there a sustainable balance between in-house Innovation and external Innovation or M A doesn't always have to be about Innovation could be market share or a geographic expansion but what is really important to understand when a company relies too much on financial control in its survival gets really threatened because the more companies you buy the more over a period of time your in-house capability to innovate will weaken and effectively you're losing your strategic control now coming back to the Silicon Valley companies what they have done tremendously successful whether it's a a meta Facebook Google they have been continuously investing they have been the biggest investor as a as a percentage share of their revenues they've invested in R & D but at the same time they buy a company every month so they keep this balance in a TR in an incredible way and that is in my view a tremendous capability for a company to keep their balance don't allow it going one way but keep that balance so when you look at the free energy governance framework looking at really Silicon Valley is a startup the question doesn't even arise because everybody's sitting in one room now you take this massive company some of them are the biggest companies in the world like like apple and so on they have mastered it in my view by not being obsessed of how the top has to control everything understanding that we are much more powerful as an organization if the unknowns are being turned into nodes and that those who are capable of doing it are empowered and they're usually much closer to the resource Market suppliers Technologies clients in order to do so so I do think in those companies you find many facets of it which make it very successful and I'm very convinced that they are also the next companies who are embracing artificial as a way of changing again how organizations are structured how they take decisions and how the power may be shifting but and that was one of the questions you asked me uh which is on the on the slide is why being so obsessed with the board actually I'm not obsessed with the board as such but the reality is that the board depending on you know the role of the board varies many times from countries from jurisdictions culture you know what role they play but when you look at a typical board the CEO may be on the board in the U.S the CEO usually is on the board the CEO is actually usually also the chairman in the rest of the world they strictly separate this two-world CEO and chairman but you will have the majority of the board members being non-executives and these non-executives have no role in the day-to-day operation of the business but they come and they Leverage The expertise from different Industries and uh overall their their their experience uh they they have accumulated over uh usually a longer career and

the board because it is not executive is in my view uniquely positioned not to get involved in the content dimensions of the business the board can't tell you you should be buying this you should be doing this what the board should be doing is to ensure that we have a process that allows for free energy governance to come to life bottom and top properly connected articulating prediction models having the right language articulating predictions and empowering the rest of the organization to challenge those predictions and the third one is where the board has to self-evaluate are we really keeping a good balance between strategic control and financial control and these are a role which in my view cannot be delegated to the CEO and needs to come actually from a meter organ which literally the board is to ensure those processes and just make sure that they are in place and that they stay alive that that makes sense so if I understand you correctly it's not to say that a board is like intrinsically a part of free energy governance but like we have inherited these legal structures where oftentimes for non-profits and C Corps you need to have a board so you might as well put to good use and a nice attribute of a board is that it's separate from the rest of the organization and that means can play this kind of unique and special role in free energy governance does that characterize what you're saying correctly absolutely and if you look at the Dao I mean effectively it's a it's a it's a software and it's a it's a Contracting I mean a smart Contracting in a certain way so what you should be doing you should be because in the Dao the governance Dimension is not about content I mean it's not about saying you know you should be going left you should be going right the real question is are you following the right process when certain things should happen or they shouldn't happen and that in my view is is is is is for a board should be the guardian institutionalizing and of keeping alive self-organizing mechanisms as I describe them with the free energy governance framework and I think in the Dao you may actually write this into the software the way those things it's the language the communication the way actually uh what information can actually take decisions in in in in and has the right judgment that that makes sense and I'm actually curious this might be a hard question I think will be part of the reason it's hard is very contextually dependent but I'm wondering if you could have your pick up like a a different governance structure right maybe it's not the board but something else that would be more uh fine-tuned and appropriate for figuring energy governance and like you can have any legal structure you wanted are there things that you would change about the board or maybe it's like just to knock the board at all it's a different kind of entity that you would think would be more appropriate for pre-industry governance you know I do I do think that the power of the board and if you think about it it's funny you

know historically it was never one person aboard it's always like two people three people so I do think the idea of having a small group of people coming together that are not involved in the day-to-day business as a management team to deliberate and think about very key decisions about which concern the whole firm uh is in my view Irreplaceable and I really do believe in this now what we do see however is that some boards are completely irrelevant some boards are source of inertia and we we and a lot of the corporate governance literature is about how do you make the board really effective then it comes into diversity discussions and all of this I don't think that is really the key um it really comes down to uh I'm not a big fan of the of the diversity in terms of stereotypical diversity you know to say oh we should have uh uh you know for example the Nordic countries in Europe have made it the law that a certain number of board members need to be female and right now it's it's it's really crazy because they don't find enough women so so who are prepared to go on the board even and who are qualified to go on the board and uh it's a it's a it's a it's a I think that is the wrong way I think what you want is you want to constantly self-evaluate a support to ensure that you have the right expertise the right qualities on the board to steer the company through its next challenges got I see so instead of like a top-down mandated version of like hey this is the kind of diversity you have that should actually be an internalized process where you would internally be saying like hey actually we don't have representation from these groups that's actually probably hampering our decision making processes in these ways let's intentionally create diversity to create new cognitive capabilities on our board does that capture that right I would put yeah I would put the emphasis on the cognitive uh Dimensions having said this see I'm on the board of a company in Switzerland um which is quite big has many thousands of employees is involved around the globe okay and I'm always embarrassed when I look at the website and you have four male whites guys on the board and this is a company which is globally active we have a very important part of women in our Workforce uh and I don't think the board represents this so I do think the board has to represent in some way also the world you represent as a business and I I think that board needs to change in terms of diversity but the diversity shouldn't be just changed for the sake of diversity it should bring in as you rightly set the cognitive diversity uh at the same time but we all know sometimes and that's I guess that's what the lawmakers imply uh the cognitive diversity is many times related to the stereotypical diversity um I'm not saying anything else to add to this I do want to switch gears a little bit because we have about 10 minutes left and so something you're talking about too is like you're envisioning a very different version of what a a board looks like and get to the right

slide so both for like implementing free energy governance from the perspective of being inside a board but then also within the entire organization like it's a very different way that especially a board needs to operate and I know that you're on the board of several companies you're also a leader of several companies as well I'm kind of curious how you think about the resistance that you've encountered in implementing free energy governance both within the board and outside of the board as well and so for example like I've had personal experiences with this as well not necessarily implementing free energy governance but also implementing things that are less hierarchical more of a collective sense making process where we're not top down deciding the strategy but we're more collectively through a sense making process understand you know Finding what that purpose is and I've often found that can be very disorienting for folks and a lot of fear and uncertainty arises during that process and a lot of resistance comes during that process as well I would imagine that you would encounter similar things in implementing free energy governance both within the board and then within the larger organization so I'm kind of curious about types of resistance that you found and how you've kind of overcome that resistance in your own organizations yeah good very good question I mean effectively it's it's a question or this this whole topic touches upon let's be very precise how do you make actually free energy governance work in an organization give me some very precise tools if I was interested now in Bridging the bottom in the top uh uh uh and doing all these things uh what should I do give me a plan uh give me some inspiration what other companies have been doing that's what I'm looking at putting together now through a research project I'm undertaking to look at companies uh they may not call it free energy governance but they're dealing precisely with those issues and what they have been doing but I want to add So my answer will be twofold I'm gonna answer first of all was your question and then come actually to what should be done because the two are kind of related in a certain way the resistance I see in in boards is when you look at a board of directors it's a really very strange group of people because they most of the time the recruitment of those people is coming through connections I mean of course many times you do have a Headhunter saying like we need a board member can you find us somebody interesting and somebody comes and that that happens I'm sure I don't know what the percentage is but a fair share of board positions are being done this way but then most of the time the board members obviously know a lot of board members and they say look this is a great person that person can join the board has these and these qualifications so what happens at the end that the board comes together a little bit as a club so there is in the board uh and by the way there's a lot of research

which also says it's quite important that the board members get along very well so that there is a good climate Okay on the board table uh it's a group of people who share a lot of responsibility what I have seen over the time is that because of these things and also because many times there can be a lot of pressure on the board taking decisions in particular the moment of Crisis and there's an additional communication challenge because I be the public vis-a-vis the employee Force so when you face these challenges it brings you obviously together it's like a like a family in the forest facing a challenge to fight you come even closer together and you you you you you tend in the context of the of the board you tend to become a little bit introverted and that's a real problem because you start again it's skilled incompetence it's counter productive to what you're actually trying to achieve you become further removed from the rest of the organization you start inviting people to make presentations then you close the doors again you stay amongst yourself and I think you're going to be Hostage to a lot of blind spots to a lot of buyers towards a lot of patent recognition which nothing is always the same and you start becoming a little bit too overconfident the way you can take decisions and my Approach has been um and that's a problem I do think that every board what I've just described suffers to a certain degree from that that that pathology that makes it sometimes very difficult because when you think about it the free energy governance framework is all about how the boards opens how the board communicates how the board connects and picks up the intelligence which is at the bottom and now we come to very concrete measures of what you can do in order to actually change this and there are and I have to say to answer your question I have been practicing free energy governance as a CEO making and the way I run the company and the way the flow of information is generated the way decision power is distributed that the company is really empowered to make judgment calls and execute them and that not the top becomes a bottleneck so I'm pretty good at that when I look at my board and my own company which is a pretty strong board with very strong people and strong backgrounds very serious business people I find it very difficult for example to say hey on the website why don't you put next to your photo a sentence which explains what's your contribution to this company why are you on the board I think that's a question everybody should answer and I think it makes all of a sudden a board member much more accessible to the rest of the organization because if somebody says to me like they're responsible for China and I'm I'm involved in China then there is a guy or a woman I should be contacting and and maybe share some ideas so I think that's a way of the board opening up I think a board member should have on their website stating in one sentence why they're on that board and

what their contribution is to the company from which angle they're coming that opens up second which is a great way and I've been practicing this quite a bit is creating deep Dives where you take people very Junior people on a specific topic where you believe these Junior people middle layer people executive leadership people together with selected board members not the whole board create a deep dive around the topic no presentations and just Deep dive into a topic sharing actually what experiences they are to advance the topic and that usually is an incredible experience by the end of the of the meeting you don't know who's a board member and who's a junior guy because you don't come with this like come in here make me a PowerPoint presentation I'm listening to you and then I will judge and come with all my experience you have to kill all of this the other element which I really like and I'm looking much deeper into it and there are a number of big companies who have been doing it is creating Shadow boards so now what you're doing is you're looking at the closer to the front lines of really high potential people Talent who form a board which is holding a board meeting at the very same time the main board is holding its board meeting they have more or less the same documentation the same agenda points and they take decisions as if they were the board they Define agenda items for the next board meeting and all of a sudden you're creating a group of people at the closer to the front line who have to delve into the topics there must be obviously seen enough that they can be entrusted and that they are capable of understanding all the issues and and assuming that role in a way of not just looking at their domain where they're acting maybe but looking at the whole organization because that's a challenge for the board too you have to really understand how to relate and how to respect a lot of interacting parts of a company and then you compare afterwards the shadow board what they have discussed how they have decided that's a tremendous input of Frontline information of intelligence feeding into the main board and possibly determining future agenda items oh man there's a lot of Juicy action-oriented things I would love to spend the next four hours going into unfortunately we're at the top of the hour and so uh hopefully we can have you back and we can go deeper into some of these especially the practice oriented recommendations we'd love to explore that more but before we we wrap up and be respectful of each other's time curious if anyone has any final closing thoughts comments um Reflections questions before we wrap up I appreciate uh Tyler and blue that you're leading this series we're going to continue the regular more section oriented videos keep a space open for others to come in and range freely and Bijan thanks again for joining your welcome back anytime yeah I think look thank you for inviting me I'm I'm very honored that you took the book and you're dedicating

the time to it I do really believe not because I wrote the book obviously it's a very theoretical contribution a more practical orientation a contribution should follow but I do believe and I guess that's why also Carl Frist decided to write the forward uh and also Connie helfert from that was uh wrote the forward is because I do think this is the beginning of changing things and as I think Daniel said it at the at the beginning uh or I think it was blue uh saying uh this is something the actively inference Institute should be looking at and being inspired by how you uh design governments thanks again until next time thank you very well thank you so thanks for Sean all right thank you thank you very much bye-bye